CATHOLIC UNIVERSITY OF CENTRAL AFRICA
FACULTY OF SOCIAL SCIENCES AND MANAGEMENT
ELEMENTS OF ECONOMICS TEST (BME1) 2025/2026

NOTE: Attempt all questions respecting the instructions against each question

QUESTION I

Write TRUE for the right statement and FALSE for the wrong one. Do not copy any statement.

True i) The different definitions of economics are complete but controversial. True
False ii) Economic facts and theories are antagonistic False
True iii) Micro – and macro-economics are complementary. True
True iv) The principal consideration in the production technique question is efficiency' True
True v) If two goods are unrelated, a change in the price of one will have no effect on the quantity demanded of the other. True
False vi) A change in the demand for a good refers to the movement along its demand curve caused by changes in the price of the good.
True vii) A reduction in the price of a good causes the real income of the consumer to increase.
False viii) Maximum pricing policy is deliberately fixing the price above the equilibrium price.
True ix) The demand for a good having a variety of uses is more elastic.
False x) At the point of equilibrium the indifference curve must be concave to the origin.

QUESTION II

Choose the letter that corresponds to the best answer.

Questions (i) – (iv) refer to the following options. Choose the option that corresponds to the question.

(A) Early economists (B) Classical economists (C) Neo-classical economists (D) Modern economists

C (i) Which group of economists defined economics in terms of scarcity?
A (ii) Which group of economists introduced welfare into economic analysis?
B (iii) Which group defined economics as the management of wealth?
D (iv) In which group of definition was economics labeled as a dismal science?
C (v) Which model makes use of extrapolation? (A) Explanatory (B)Descriptive (C) Policy (D) Predictive
C (vi) Effective demand implies that: (A) The individual has expressed need for the good (B) The individual can pay for the good (C) The individual is willing and able to pay for the good (D) None of these
C (vii) The shape of the abnormal demand curve can be explained by: (A) Depression (B) Price effect (C) Diminishing marginal utility (D) None of the above
C (viii) Other things being equal, if a rise in price of one good A, results in less of another good B, being demanded, then the two goods must be: (A) in joint supply (B) Substitutes (C) complementary goods (D) Giffen goods
A (ix) A given proportionate change in price brings about a more than proportionate change in the quantity demanded. This refers to (A) relative elastic demand (B) Perfectly elastic demand (C) relatively inelastic demand (D) unitary elastic demand
B (x) A consumer spends his total income on two goods X and Y. He will be in equilibrium when (A) the marginal utilities of X and Y are equal (B) the ratio of the marginal utilities of X and Y is equal to the ratio of their respective prices (C) the utility of the last unit he bought of X equals the utility of the last unit he bought of Y (d) All of the above

QUESTION III (15 marks)

Give very brief and precise answers to the following questions as indicated against each question.

(a) Which one major factor limits the consumer from attaining the highest indifference curve? (1 word)

(b) Between the seller and consumer, who pays the tax levied on a perfectly inelastic good? (1 word) Seller

(c) The act of transforming input into output is called _____ (1 word) Production

(d) In which stage of production does output increase at an increasing rate? (1 – 2 words)

(e) Which concept describes the addition made to total production by the employment of an extra unit of an input factor? (2 words)

(f) Indifference curve is to consumption as _____ is to production. (1 word)

(g) A 2% increase in income leads to a 6% increase in the demand for meat. What kind of good is meat? (2 words) Substitute good

(h) What is the most economical language of Economics? (1 word) Mathematic

(i) What happens to output when the marginal product declines to zero? (a phrase) marginal utility increase

(j) Given three goods A, B and C with respective prices as P_A, P_B and P_C, how would a consumer of the three goods maximize utility? (write out the formula only) $\frac{P_a}{MU} = \frac{P_b}{MU} = \frac{P_c}{MU}$

QUESTION IV (25 marks)

The individual demand functions for three consumers A, B and C are expressed as follows:

$Q_A = 40 - 2P$: $Q_B = 25.5 - 0.75P$; $Q_C = 36.5 - 1.25P$

Where Q is quantity demanded; P is the price of the good

(i) What is the market demand function (Q_M) for the good? **(5 marks)**

(ii) If the market price is 4 Frs, find the individual quantities demanded by each consumer. **(5marks)**

(iii) Using well labeled diagrams, distinguish between a change in quantity demanded and a change in demand **(10 marks)**

(iv) Outline the factors responsible for changes in demand. **(5 marks)**

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